IN THE HIGH COURT OF JUSTICE
BUSINESS AND PROPERTY COURTS OF ENGLAND AND WALES
TECHNOLOGY AND CONSTRUCTION COURT (KBD)

Claim No. HT-2025-000612

B E T W E E N:

HALSTEAD AEROSPACE LIMITED

Claimant

- and -

FERNCLIFFE ALLOYS LIMITED

Defendant

DEFENCE

Save as expressly admitted below, the Defendant denies each and every allegation in the Particulars of Claim as if the same were set out and traversed seriatim. References to paragraph numbers are to the paragraphs of the Particulars of Claim.

The parties and the contract

1. Paragraphs 1 and 2 are admitted.

2. Paragraphs 3 and 4 are admitted. It is admitted that the Defendant agreed to supply Ti-6Al-4V (Grade 5) bar to AMS 4928 and that the Supply Agreement incorporated the Claimant's specification HAS-MAT-114 (rev. C).

3. As to paragraph 5, it is admitted that clause 8 contained the warranties pleaded. It is averred that the warranty at clause 8.1 is to be read together with clause 12 of the Supply Agreement, by which the Claimant agreed to carry out incoming inspection and to notify any non-conformity within 30 days of delivery, failing which the goods were deemed accepted.

4. Paragraph 6 (the implied terms) is admitted as a matter of law, but it is denied that any such term was breached.

The order and delivery

5. Paragraphs 7 and 8 are admitted. The bar drawn from heats FA-7733 and FA-7741 was delivered on 2 February 2024 with mill certificates and certificates of conformity issued by the Defendant's accredited sub-tier mill confirming conformity with AMS 4928 at the point of release.

The alleged non-conformity

6. Paragraphs 9 to 12 are not admitted. The Defendant did not have the benefit of the Claimant's testing and puts the Claimant to strict proof of (a) the condition of the material as at the date of delivery, and (b) that any departure from specification existed at that time rather than having been introduced by the Claimant's own processing, machining, handling or storage.

7. Further or alternatively, alpha-case is a surface oxidation phenomenon associated with exposure of titanium to elevated temperatures. The depth and distribution of any alpha-case observed is consistent with the material having been exposed to elevated temperature after delivery. The Defendant will rely on expert metallurgical evidence in this regard.

8. The Defendant repeats paragraph 4 above. The Claimant did not raise any incoming-inspection rejection until 18 March 2024, some six weeks after delivery, by which time it had committed 312 parts to machining. To the extent that the material was non-conforming (which is denied), the Claimant's loss was caused or contributed to by its own failure to complete incoming inspection before releasing the material to production.

Causation, loss and quantum

9. Paragraphs 13 and 14 are denied. It is denied that the Defendant is liable for the loss pleaded, which is excessive, not admitted, and in significant part too remote.

10. In particular: (a) the rate of £4,570 per fitting claimed as 'conversion value' is not admitted and is put to proof; (b) it is denied that 14 days of line-stop at £21,500 per day is attributable to the Defendant; (c) the claim of £412,000 for liquidated-damages exposure to the Claimant's own customer is too remote and was not within the reasonable contemplation of the parties at the time of contracting; and (d) the Claimant failed to mitigate its loss.

11. As to paragraph 15 (interest), no sum being due, no interest is payable. The rate and period claimed are not admitted.

12. Save as expressly admitted, each and every allegation in the Particulars of Claim is denied.

STATEMENT OF TRUTH

The Defendant believes that the facts stated in this Defence are true. The Defendant understands that proceedings for contempt of court may be brought against anyone who makes, or causes to be made, a false statement in a document verified by a statement of truth without an honest belief in its truth.

Signed: ..... Dated: 8 April 2025

Castle & Vane LLP, solicitors for the Defendant